

GNIOT Institute of Management Studies – PGDM (Batch 2023-25)**(TRIMESTER –III) END TERM EXAMINATION, APRIL -2024****STRATEGIC SUPPLY CHAIN MANAGEMENT****[Time: 3 Hours]****[Maximum Marks: 60]****Following are the course outcomes of the subject: - STRATEGIC SUPPLY CHAIN MANAGEMENT**

CO	Course Outcome (CO)
CO1	Understand the basic concepts of supply chain Management and establish the impact of supply chain decisions on a firm's performance.
CO2	Identify and describe the relationship between supply chain strategy and competitive strategy of a firm.
CO3	Identify the major drivers of supply chain performance & understand the role of each driver in creating strategic fit

*(Note- Faculty can add more CO's as per their subject.)***SECTION-A****Attempt all parts of the following: (Short Answer Type Questions, do not exceed 200 words)**

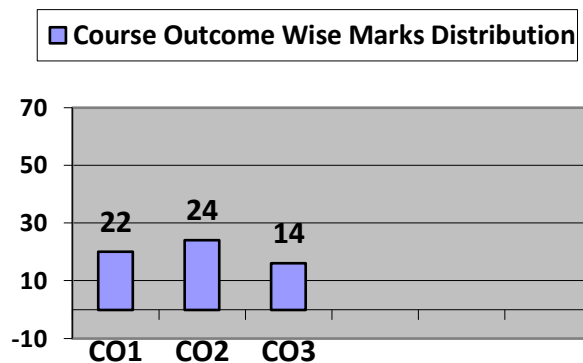
Q.1	Marks	CO
(A)	4	CO – 2
(B)	4	CO – 1
(C)	4	CO – 1
(D)	4	CO – 2
(E)	4	CO - 1

SECTION-B**Attempt all questions out of the following: (Long Answer Type Questions)**

Q. No	Marks	CO
2 (A)	6	CO – 3
2 (A)	6	CO – 1
2 (B)	6	CO – 2
2 (B)	6	CO – 1
3 (A)	6	CO – 1
3 (A)	6	CO – 1
3 (B)	6	CO – 2
3 (B)	6	CO – 2

SECTION-C**Attempt all parts of the following: (Caselet / Numerical)**

Q.4	Marks	CO
4 (A)	8	CO – 2
4 (B)	8	CO – 3



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GNIOT Institute of Management Studies – PGDM (Batch 2023-25)

(TRIMESTER – III) END TERM EXAMINATION, APRIL - 2024

STRATEGIC SUPPLY CHAIN MANAGEMENT

[Time: 3 Hours]

[Maximum Marks: 60]

INSTRUCTIONS:

- (i) There are **THREE** sections in this question paper.
- (ii) Attempt questions from each section as per the directions.
- (iii) Make suitable assumptions wherever necessary.

SECTION-A

(Short Answer Type Questions, do not exceed 200 words)

Q.1. Attempt all parts of the following:

(5×4=20)

- (a) Analyze Toyota's effective implementation of lean manufacturing principles in its supply chain, resulting in competitive advantages and operational excellence.
- (b) Explore the fundamental distinctions between logistics and supply chain management, and analyze how the roles of logistics management enhance the overall efficiency and effectiveness of the supply chain.
- (c) Examine the ways in which reverse logistics assists companies in managing product returns, and evaluate its effects on environmental conservation and cost savings.
- (d) Explain the impact of early supply chain management innovations at Ford Motor Company on its success.
- (e) Describe the cycle perspective of the activities carried out within a supply chain.

SECTION-B

(Long Answer Type Questions)

Q.2. Attempt all questions of the following

(4×6=24)

- (a) Explore the various design choices for establishing an efficient transportation network.

OR

- (a) Explain the differences between cross-docking and drop shipping in their supply chain management approaches, and discuss the benefits and drawbacks of each method regarding efficiency, cost-effectiveness, and customer satisfaction.

- (b) Examine the contribution of each logistical driver in aligning the supply chain strategy with the competitive strategy to achieve strategic fit.

OR

- (b) Consider purchasing a pair of shoes online. Describe the different stages in the supply chain process and the various flows involved.

Q.3. (a) Discuss how does understanding a company's value chain contribute to effective supply chain management

OR

- (a) Examine the variances between push and pull systems in supply chain management, addressing their suitability across industries and challenges in implementation.

- (b) Compare and analyze the traits and strategic impacts of efficient and responsive supply chains.

OR

- (b) Explain how the goals of supply chain management contribute to the generation of surplus within the supply chain.

SECTION-C

Q.4. Attempt all parts of the following:

(2×8=16)

4(a) The case study delves into Dell's approach to supply chain management, focusing on its unique 'direct build-to-order' sales model that has been in place for more than twenty years. This model allows customers to personalize their configurations and place orders directly with Dell through phone or online channels. Over time, Dell's emphasis on supply chain efficiencies and direct sales has provided it with a competitive advantage in the market. Analyze Dell's Direct model, exploring its operational mechanics, benefits, and the obstacles encountered in implementing a build-to-order process.

4(b) Corsair Components Inc. a manufacturer of computer peripheral devices was looking to improve its balance sheet and P & L by reducing inventory and the associated carrying costs, while improving customer service. The company needed to completely revamp its inventory, manufacturing and product support policies, procedures, and practices to reflect the dramatic and fast changes to its product line. Marc, who had recently joined the company was entrusted with the responsibility of studying the inventory policy being followed and asked to suggest a more economical purchasing policy for the company.

Marc understands that Effective inventory management is essential in the operation of any business. And improvements in inventory management can achieve worthwhile cost savings. At the same time, small businesses require inventory management systems that are simple, easy to use, inexpensive, and keyed to current data sources and modes of operation.

In fifteen days of his studying the present inventory system he could gather the following data

(i) Cost of Money (Interest rate): 7%

(ii) Taxes: 1%

(iii) Insurance: 1%

(iv) Warehouse Expenses: 1%

(v) Physical handling: 1%

(vi) Clerical & Inventory control: 2%

(vii) Obsolescence costs: 1%

(viii) Deterioration & Pilferage costs: 1%. Therefore, total holding cost is 15% of the material cost.

The costs associated with preparing a purchase order include the cost of preparing a purchase invoice, telephone, salaries of purchasing clerks and stationery. It does not include the actual cost of the goods. There is a cost involved in placing each order so firms try to avoid ordering items individually so what they do is place the combined order for one month usage at a time in order to reduce the costs. Each order has a fixed cost of Rs 15 associated with it and it is independent of the number of items in the order.

An average demand pattern was arrived at based on the sales forecast input from the sales team. The annual demand was estimated to be 9000 units. The purchase price of all the items were taken as a weighted average cost from the ERP system which approximates to Rs 20

Also, the following points were noted by him.

(i) Demand was known, constant and independent

(ii) Lead time was known and constant

(iii) Receipt of inventory was instantaneous and complete

(iv) Purchase price of the item was constant.

(v) Quantity discounts are not availed

(vi) Stock outs completely avoidable

Discuss what Marc should suggest about the purchasing policy for the company, what advice he would offer and how much it would save the company per year.